MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-BCA (HONOURS) REGULAR EXAMINATION March 2026
Fourth SEMESTER
Value Addition Course (VAC) - MG4VACBCA200 - ENTREPRENEURSHIP AND STARTUP ECOSYSTEM
(2024 ADMISSION ONWARDS) **Scheme of Valuation**

Duration: 1 Hours **Maximum Marks: 35**

Part A Very Short Answer Questions
Answer any 5 questions
Each question carries 3 marks

Q1. What are the different sources of business ideas? (3 Marks)

Sources of Business Ideas:

- Internal / Personal Sources(Personal experience and observation,Hobbies and interests,Talent and skill,Friends and family,Business Partners,Employee Ideas,Dream Approach)
- Market-Oriented Sources(Market research and surveys,Trends and market gaps,Competitors,Customers,Distribution Channels,Market gap analysis,Lifestyle analysis,Focus groups,Checklist Method,Heuristics method)
- Knowledge & Idea Generation Methods(Brainstorming sessions,Synectic's method,Research and Development,Professional Advisor,Blogs,Mass media,online sources)
- Environmental & External Sources(Events and trade fairs, media and news, economic shifts)
- Institutional & Policy-Driven Sources(Government policies,Financial institutions)

Award marks for any valid sources mentioned by the student.

Q2. Explain about Credit Guarantee Schemes for Startups. (3 Marks)

The **Credit Guarantee Scheme for Startups (CGSS)** is a government initiative that provides collateral-free debt funding to eligible startups. Managed by the **NCGTC** (National Credit Guarantee Trustee Company), it reduces the risk for financial institutions, making it easier for founders to secure loans without pledging personal or business assets

Q3. Define Small Enterprise. (3 Marks)

According to the MSME classification in India, a Small Enterprise is an enterprise where:

- Investment in plant and machinery or equipment does not exceed ₹25 crores.
- Annual turnover does not exceed ₹100 crores.

Q4. What is Idea Feasibility? (3 Marks)

Idea feasibility is the evaluation process used to determine if a proposed product, service, or business concept is practically achievable, market-viable, and legally compliant before

investing significant time and money. It serves as a vital reality check to answer the core question: *"Should we proceed with this idea*

Q5. Explain Social Media Marketing in your own words. (3 Marks)

Social Media Marketing (SMM) is the use of social media platforms such as Instagram, Facebook, LinkedIn, and YouTube to promote products, services, and brands, engage with customers, and drive business growth.

This includes posting regular updates, running contests, and using relevant hashtags.

Note to Evaluators: Give marks for any valid explanation of Social Media Marketing

Q6. What is Balanced Regional Development? (3 Marks)

Balanced regional development is an economic policy aimed at reducing socio-economic disparities between different areas within a country. It ensures that all regions—not just major urban centers—have equitable access to resources, infrastructure, and opportunities, enabling them to reach their full economic and social potential

Q7. Write any three types of IPR. (3 Marks)

Intellectual Property Rights (IPRs) are legal rights granted to the creator or owner of a creation of the mind, such as an invention, literary or artistic work, design, or symbol. These rights provide the owner with exclusive rights over the use of their creation for a certain period.

Types of IPRs:

- Patents – Protect inventions.
- Trademarks – Protect brand names, logos, and symbols.
- Copyrights – Protect creative works (books, music, films, software).
- Geographical Indications (GIs) – Protect products linked to a specific location.
- Industrial Designs – Protect appearance or shape of a product.
- Trade Secrets – Protect confidential business information.
- Plant Variety Rights – Protect new plant varieties.

Award marks for any three valid types of IPR.

Part B
Short Answer Questions
Answer any 4 questions.
Each question carries 5 marks.

Q8. What is a Private Limited Company? (5 Marks)

A Private Limited Company is a company registered under the Companies Act and owned by private individuals. It has a separate legal entity from its owners, and the liability of its members is limited to the amount unpaid on the shares held by them.

Key Features:

- Minimum 2 members and maximum 200 members,Minimum 2 directors,Separate legal entity,Limited liability of shareholders,Restriction on transfer of shares,Cannot invite the public to subscribe to its shares.

Q9. What is a CSV file? Explain its structure and advantages in data analysis. (5 Marks)

Note: This question is outside the prescribed syllabus of MG4VACBCA200 – Entrepreneurship and Startup Ecosystem. Appropriate action may be taken as per University guidelines regarding out-of-syllabus questions.

Q10 Describe the focus area of Digital India

Digital India is a Government of India programme with the vision to transform India into a digitally empowered society and knowledge economy

Focus areas of Digital India are :

1.Digital Inclusion and Accessibility:

Digital India- consider Internet connectivity as a basic utility, like water or electricity. Digital India program is committed to ensure that digital services are accessible to all, including marginalized communities, differently-abled individuals and those in rural and remote areas. Few initiatives by Digital India for digital inclusion and accessibility are

Digital India Corporation (DIC), UMANG, Common Service Centre (CSC)

2.Innovation:

Digital India collaborate with startups, academia and industry experts to encourage a culture of innovation that empowers India to lead in emerging technologies. Few of the Digital India program activities in this direction are

1. Quantum Computing Applications Lab
2. India Stack Global
3. API Setu
4. OpenForge
5. CollabFiles

3. Capacity Building and Skill Development: Digital India work with government agencies, educational institutions and industry partners to create a talent pool that supports India's digital transformation journey. The main capacity building and skill development initiates of Digital India are

MANAS, MY Bharat, SATHI, CollabCAD

4.Supporting Digital Entrepreneurship:

Digital India provides resources like funding, mentorship and technology access to innovators. It encourages digital skills, build supportive ecosystems and promote collaboration which is a key to help entrepreneurs to grow in competitive and rapidly evolving digital economy. Let us group the initiatives of Digital India for supporting digital entrepreneurship as three groups. The first group can be the platforms and services designed to simplify and improve financial transactions and access to banking are

Mobile Banking, UPI, Rupay, e-RUPI, AePS, BBPS, NACH

Q 11. Compare the management style of family businesses with professionally managed companies using suitable Indian cases.

Difference Between Family Businesses and Professionally Managed Companies

Ownership and Control

Family Businesses: In family businesses, ownership and control remain with family members. Examples include Murugappa Group, Dabur, Wadia Group, Godrej Group, and Kirloskar Group.

Professionally Managed Companies: In professionally managed companies, ownership and management are separate. Examples include Infosys, HDFC Bank, ICICI Bank, and Larsen & Toubro.

Leadership

Family Businesses: Family businesses are usually led by members of the owning family.

Professionally Managed Companies: Professionally managed companies are led by qualified professional managers.

Decision Making

Family Businesses: Family businesses often have centralized and quick decision-making.

Professionally Managed Companies: Professionally managed companies follow formal procedures and collective decision-making.

Succession

Family Businesses: In family businesses, leadership is generally passed on to the next generation of the family.

Professionally Managed Companies: In professionally managed companies, leadership positions are filled based on merit and competence.

Recruitment

Family Businesses: Family businesses may prefer family members for key positions.

Professionally Managed Companies: Professionally managed companies recruit and promote employees based on qualifications and performance.

Objectives

Family Businesses: Family businesses focus on preserving family legacy and ensuring long-term continuity.

Professionally Managed Companies: Professionally managed companies focus on profitability, growth, and maximizing shareholder wealth.

Management Style

Family Businesses: Family businesses tend to have a more informal management structure.

Professionally Managed Companies: Professionally managed companies have a formal and systematic management structure.

Conclusion

Family businesses such as Murugappa Group, Dabur, Wadia Group, Godrej Group, and Kirloskar Group are characterized by family ownership and succession. Professionally managed companies such as Infosys, HDFC Bank, ICICI Bank, and Larsen & Toubro rely on professional expertise and merit-based management.

Q12. What are the components of startup Ecosystem?

A startup ecosystem is the interconnected network of **individuals, organizations, institutions, and resources** that collectively foster entrepreneurship and support the growth of early-stage companies in a specific location or industry.

The key components that make up a thriving startup ecosystem include:

1. The Core Players

- **Entrepreneurs:** The visionaries and founders who drive the startups. They are the heart of the ecosystem, bringing innovative ideas and the drive to execute them.
- **Talent Pool:** The skilled workforce—including developers, marketers, and operations professionals—necessary for startups to build and scale their products.
- **Mentors and Advisors:** Experienced business leaders, successful former founders, and industry experts who provide guidance and help startups avoid common pitfalls.

2. Investment & Capital

- **Angel Investors & VCs:** High-net-worth individuals, angel networks, and Venture Capital (VC) firms that provide the vital financial backing.
- **Alternative Funding:** Government grants, crowdfunding platforms, and seed funds that help early-stage companies get off the ground.

3. Support Infrastructure

- **Accelerators & Incubators:** Organizations that help startups grow through immersive education, mentorship, workspace access, and intense networking.

- **Co-working Spaces:** Shared physical environments that provide flexible, affordable office setups and foster organic networking among different startup teams.

4. Institutions & Corporate Players

- **Educational Institutions:** Universities, colleges, and research centers that produce sought-after talent, foster entrepreneurial culture, and often house campus incubators.
- **Corporate Partners:** Established companies that drive innovation through strategic partnerships, pilot programs, or acquisitions.

5. Government & Professional Services

- **Government Bodies:** Public entities that shape regulations, provide tax incentives, and launch public-sector initiatives (e.g., Startup India) to support innovation.
- **Service Providers:** Specialized external firms providing legal, accounting, recruitment, and technical services designed specifically for the unique needs of startups

Q. 13 Distinguish between entrepreneur and entrepreneurship with appropriate points

Distinction Between Entrepreneur and Entrepreneurship

Basis	Entrepreneur	Entrepreneurship	Example
Meaning	A person who identifies opportunities, takes risks, and starts a business.	The process of creating, organizing, and managing a business venture.	Narayana Murthy (Entrepreneur) / The establishment of Infosys (Entrepreneurship)
Nature	An individual or a person.	An activity or process.	N/A
Role	Founder and decision-maker.	Functions involved in establishing and running a business.	N/A
Focus	Starting and managing a business.	Innovation, opportunity recognition, and value creation.	N/A
Risk Bearing	Bears the risks and uncertainties.	Refers to the process of undertaking and managing risks.	N/A
Outcome	Leads and controls the enterprise.	Results in the creation and growth of enterprises.	N/A